

MATCH MY DOLL VS DESIGN YOUR OWN DOLL

Analysis & Recommendation

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WAYNE STATE UNIVERSITY
MIKE ILITCH
SCHOOL OF BUSINESS

PROJECT SUMMARY

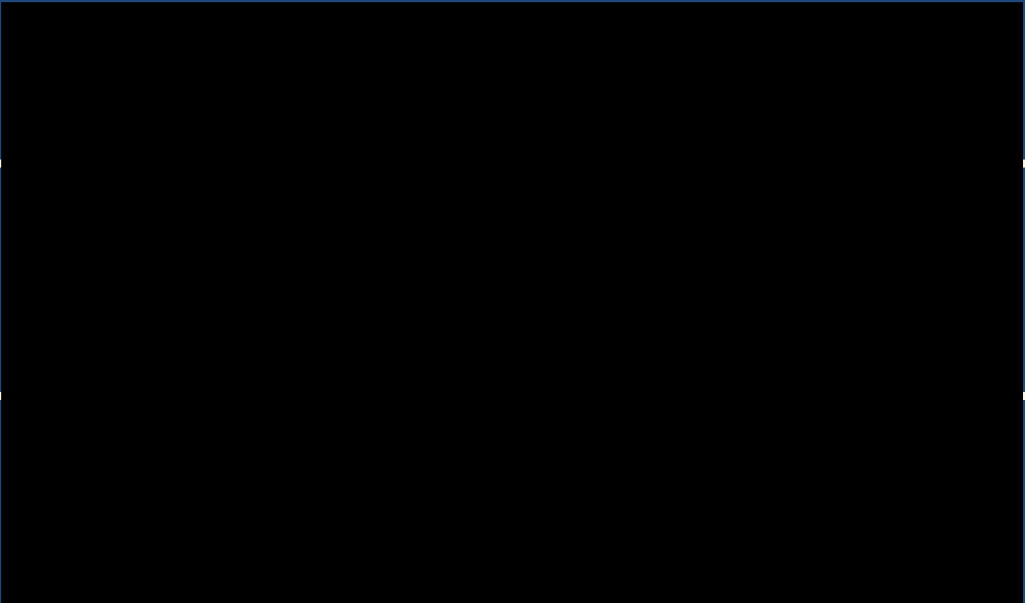
DYOD

- Web-based doll customization
- Targets existing customers
- \$5.81M+ heavy upfront costs
- Complex machines required
- Long payback, higher risk

MMDC

- Extends existing clothing line
- Celebrity-driven momentum
- \$3.52M upfront, moderate risk
- FCF positive by 2012
- Quicker payback, less risk

ASSUMPTIONS

	DYOD	MMDC
Tax Rate		
WACC		
Growth %		

RESULTS (MMDC)

Year	2010	2011	2012	2013	2014	2015
OPERATING FORECAST						
Revenue	\$ -	\$ 4,500.00	\$ 6,860.00	\$ 8,409.00	\$ 9,082.00	\$ 9,808.00
COGS (including Depreciation)	\$ -	\$ (2,762.00)	\$ (4,131.00)	\$ (5,030.00)	\$ (5,419.00)	\$ (5,852.00)
SG&A	\$ (1,250.00)	\$ (1,155.00)	\$ (1,735.00)	\$ (2,102.00)	\$ (2,270.00)	\$ (2,452.00)
EBIT	\$ (1,250.00)	\$ 583.00	\$ 994.00	\$ 1,277.00	\$ 1,393.00	\$ 1,504.00
Income Tax (40%)	\$ 500.00	\$ (233.20)	\$ (397.60)	\$ (510.80)	\$ (557.20)	\$ (601.60)
Net Income	\$ (750.00)	\$ 349.80	\$ 596.40	\$ 766.20	\$ 835.80	\$ 902.40
Add: Depreciation	\$ -	\$ 152.00	\$ 152.00	\$ 152.00	\$ 152.00	\$ 164.00
Operating Cash Flow	\$ (750.00)	\$ 501.80	\$ 748.40	\$ 918.20	\$ 987.80	\$ 1,066.40
Less: Capital Expenditures	\$ (1,470.00)	\$ (952.20)	\$ (152.20)	\$ (152.20)	\$ (333.80)	\$ (360.50)
Less: Change in NWC	\$ (800.00)	\$ (94.03)	\$ (427.36)	\$ (84.19)	\$ (112.60)	\$ (121.32)
FREE CASH FLOW	\$ (3,020.00)	\$ (544.43)	\$ 168.84	\$ 681.81	\$ 541.40	\$ 584.58
VALUATION						
IRR	18.54%					
Terminal Value	\$ 7,978.78					
PV of Terminal Value	\$ 5,330.77					
NPV (2010-2015)	\$ (1,900.93)					
FINAL NPV	\$ 3,429.84					

NPV: 3.43M | IRR: 18.54%

RESULTS (DYOD)

Year	2010		2011		2012		2013		2014		2015	
OPERATING FORECAST												
Revenue	\$	-	\$	-	\$	6,000.00	\$	14,360.00	\$	20,221.60	\$	21,434.80
COGS (including Depreciation)	\$	-	\$	-	\$	(4,209.70)	\$	(9,643.70)	\$	(13,453.60)	\$	(14,368.70)
SG&A	\$	(1,201.00)	\$	-	\$	(1,240.00)	\$	(2,922.00)	\$	(4,044.30)	\$	(4,286.90)
EBIT	\$	(1,201.00)	\$	-	\$	550.30	\$	1,794.30	\$	2,723.70	\$	2,779.20
Income Tax (40%)	\$	480.40	\$	-	\$	(220.12)	\$	(717.72)	\$	(1,089.48)	\$	(1,111.68)
Net Income	\$	(720.60)	\$	-	\$	330.18	\$	1,076.58	\$	1,634.22	\$	1,667.52
Add: Depreciation	\$	-	\$	-	\$	309.70	\$	309.70	\$	309.70	\$	436.20
Operating Cash Flow	\$	(720.60)	\$	-	\$	639.88	\$	1,386.28	\$	1,943.92	\$	2,103.72
Less: Capital Expenditures	\$	(4,610.00)	\$	-	\$	(309.70)	\$	(309.70)	\$	(2,191.50)	\$	(825.70)
Less: Change in NWC	\$	-	\$	(1,000.00)	\$	4.43	\$	(1,385.47)	\$	(941.88)	\$	(189.82)
FREE CASH FLOW	\$	(5,330.60)	\$	(1,000.00)	\$	334.61	\$	(308.89)	\$	(1,189.46)	\$	1,088.20
VALUATION												
IRR		11.74%										
Terminal Value	\$	13,738.50										
PV of Terminal Value	\$	8,929.08										
NPV (2010-2015)	\$	(5,816.79)										
FINAL NPV	\$	3,112.30										

NPV: 3.11M | IRR: 11.74%

NPV: 3.11M | IRR: 11.74%

SENSITIVITY TEST

For both projects we performed 2 sensitivity tests

- (Test 1) Revenue = -2% lower
- (Test 2) Growth = 0.5% lower

Test 1 = Revenue -2% lower

Test 2 = Growth 0.5% lower

	NPV (Base)	IRR (Base)	NPV (Test 1)	IRR (Test 1)	NPV (Test 2)	IRR (Test 2)
MMDC	\$ 3,429.84	18.5%	\$ 2,027.56	13.8%	\$ 3,067.73	17.6%
DYOD	\$ 3,112.30	11.7%	\$ 512.97	6.0%	\$ 2,545.45	10.7%

MMDC considerably more resilient

DYOD's IRR **drops below 9.0%** required
return under test 1

MMDC

Assumptions

\$3.43M

NPV

18.54%

IRR

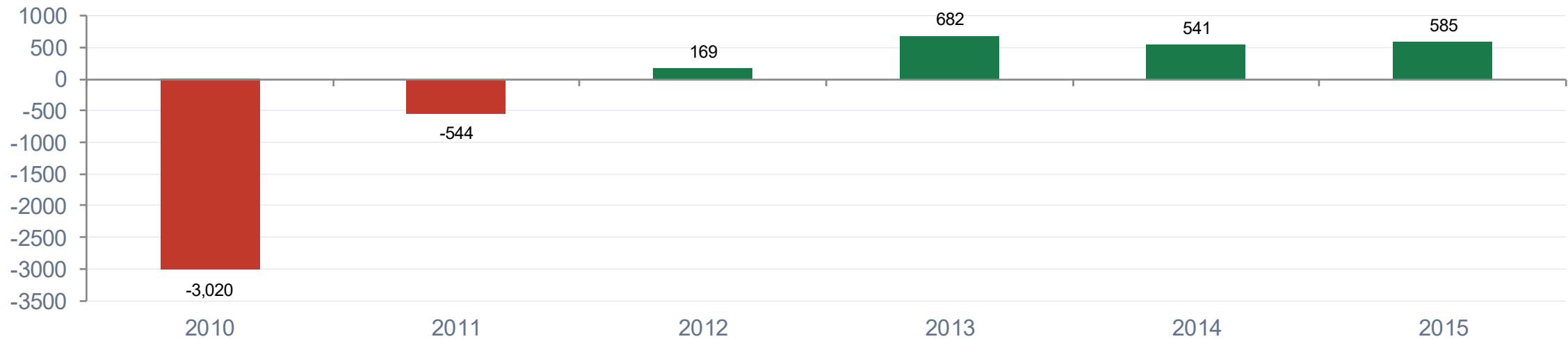
\$7.98M

Terminal Value

4/4

Sensitivity Results

Free Cash Flow (\$000s)



DYOD

Assumptions

\$3.11M

NPV

11.74%

IRR

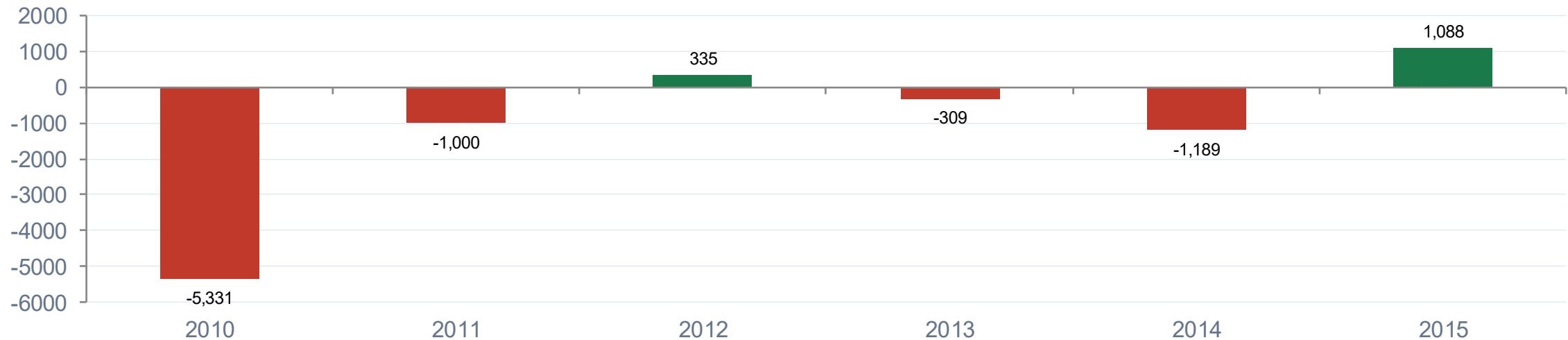
\$13.74M

Terminal Value

3/4

Sensitivity Results

Free Cash Flow (\$000s)



OUR RECOMMENDATION

INVEST IN MMDC!

- Lower initial investment
- Less risk, more resilient in sensitivity tests
- Higher NPV & IRR
- Proven business model w/ existing customers
- FCF positive by 2012

QUESTIONS?